higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

SALES MANAGEMENT N6

24 MAY 2019

This marking guideline consists of 7 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	False		
	1.1.2	False		
	1.1.3	False		
	1.1.4	True		
	1.1.5	True		
	1.1.6	True		
	1.1.7	False		
	1.1.8	True		
	1.1.9	False		
	1.1.10	False		
			(10 × 2)	(20)

1.2	1.2.1	Commission		
	1.2.2	Sales budget		
	1.2.3	Job specification		
	1.2.4	Supervision		
	1.2.5	Selection		
	1.2.6	Appraisal		
	1.2.7	Social need		
	1.2.8	Staff turnover rate		
	1.2.9	Open-ended questions		
	1.2.10	Efficiency		
			(10 × 2)	(20)

1.3
- Company name
- Product or service sold
- Minimum requirements for the service
- Area or territory in which vacancy exists
- Salary and fringe benefits
- Opportunities for advancement
- Name and telephone number of contact person (Any 5 × 2) (10)

[50]

TOTAL SECTION A: 50

SECTION B

QUESTION 2

2.1 2.1.1

- Increased productivity✓ – the training will result in an increase in product knowledge and, in return, more sales will be made, resulting in increased profits for the company.✓✓
- Improved morale✓ – a trained salesperson will be motivated and will gain self-confidence. He/She will have a positive attitude towards the company, customers and life in general.✓✓
- Improved customer relations✓ – a much better service will be provided to customers. Good customer service builds good customer relationships, which will increase customer loyalty. ✓✓
- Lower staff turnover✓ – a well-trained salesperson is much more prepared for the realities of a sales career. He/she is successful and there will be lesser chances of them leaving the company.✓✓
- Improved management of time and territory✓ – training will enable salespeople to manage their territories in the most effective way and non-productive time and costs will be kept to a minimum.✓✓
- Reduced amount of supervision✓ – trained salespeople can work independently and will require minimum supervision. This will afford sales managers more time for other important tasks.✓✓ (Any 4 × 3) (12)

2.1.2

- Prospecting
- Pre-approach (planning)
- Approach to sales presentation
- The sales presentation
- Handling objections
- The sales close
- Follow-up (after sales service) (7)

2.1.3

- The salesperson will gain more confidence when selling a product or product range.
- It becomes easier for him/her to communicate the features, advantages and benefits of the product to the customer.
- He/She has a better understanding of customer needs and how certain products can meet those needs.
- The salesperson must understand how the product has been developed and manufactured.
- Salespeople need to explain to customers the different uses of products, and how to use them.
- It is also essential for salespeople to have knowledge of competitors' products so that the advantages of one's own products can be stressed. (Any 3 × 2) (6)

2.2 2.2.1
- Advertisements
- Recruitment consultants/agencies
- Educational institutions
- Competing companies
- Job search engines/Internet
- Headhunting
- People in the company (internal staff)
- Non-competing companies
- Customers or their employees
- Unsolicited applications (Any 4 × 1) (4)

2.2.2
- They may not stay long with your company before moving on to another company.
- When they leave your company, they could take accounts and customers with them.
- When they join your company, they may bring bad habits or business practices with them.
- They may not be compatible with your company's policies, type of sales organisation or culture. (Any 3 × 2) (6)

2.3 2.3.1 A salary is a fixed amount which is paid for a time unit of work (usually a month). (1 × 3) (3)

2.3.2
- In highly technical industries
- In team selling
- In missionary selling
- In fixed route selling
- When negotiation periods to close the sale are long
- During sales training and induction
- When new products are introduced or new territories are developed
- When performing non-selling duties (Any 3 × 2) (6)

2.3.3
- It is easier to administrate.
- It gives a salesperson a large degree of security, even when sales decline during slack period.
- Salespeople can do non-selling talks without losing income.
- Better chances of improved teamwork.
- Management has more flexibility regarding moving salespeople between territories and accounts.
- Sales managers obtain direct control over salespeople.

(Any 3 × 2) (6)
[50]

QUESTION 3

3.1 3.1.1
- The size of the sales force
- The organisation's long-term objectives
- The nature of the organisation's products and services
- The physical location of customers
- The amount of customer services required
- Types of distribution channels being used
- General cost policy of the organisation (Any 5 × 1) (5)

3.1.2
- It is simple and easy to design.
- It is very adaptable to changing needs, problems and buying patterns.
- Travelling time and expenses are reduced.
- Smaller territories allow salespeople to understand customer needs better.
- Local management can act more quickly in servicing customer needs and problems.
- It ensures better coverage of the entire market.
- It ensures control over sales force and sales operations.

(Any 5 × 2) (10)

3.2 3.2.1
- Hierarchy of authority - means that activities in the organisation take place on different managerial levels.
- The managers in a sales organisation are in a hierarchical order.
- Each level of manager from the bottom of the organisation upwards is responsible to the manager at the next level.

(Any 2 × 1) (2)

3.2.2 Unity of authority/command – means all the people in the sales organisation should be supervised by a single individual who has proper authority and responsibility to fill this supervisory role. (2)

3.3
- Sales force knowledge and experience.
- Sales managers' ability to supervise and control a larger number of salespeople.
- Type of work that individuals perform.
- Time available for managing and supervising a sales force.
- Particular objectives and circumstances of the organisation. (5)

3.4 3.4.1 Decentralised training (1 × 2) (2)

3.4.2
- The costs are much lower in terms of travelling and accommodation.
- Salespeople remain in the field and are, therefore, productive in terms of sales.
- Training that is done over a period of time is more productive.
- Managers can evaluate salespeople during training sessions.
- Trainees have the opportunity to discuss their problems with sales managers. (5 × 2) (10)

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3.5 3.5.1
- Constant sales evaluation – evaluation is continuous/ongoing, activities are monitored on the job.
- Routine sales evaluation – takes place at scheduled intervals mostly automated. All or most of the input and output measures are discussed.
- Formal sales evaluation – a detailed performance evaluation process in which the sales manager uses all possible measurements of a salesperson's performance according to a company's formal evaluation policy.
- It is conducted once or twice a year.
- It is planned in advance. (Any 3 × 3) (9)

3.5.2
- Personal selling costs
- Advertising costs
- Sales promotion costs
- Transportation costs
- Warehousing costs
- Credit and collection costs
- Order processing costs
- Sales administration (Any 3 × 1) (3)

3.5.3 To promote a change in salesperson, either in terms of sales performance or in attitude and behaviour that affect performance. (1 × 2) (2)

[50]

QUESTION 4

4.1 4.1.1
- To motivate and inspire salespeople to strive for excellence
- To increase the total sales volume
- To gain new customers
- To introduce new product lines successfully
- To promote selected items
- For large-scale seasonal promotions
- To increase sales during quiet seasons (Any 5 × 2) (10)

4.1.2
- Merchandise
- Travel awards
- Certificates
- Share options
- Job security (Any 3 × 1) (3)

4.2 4.2.1 Personality tests assess personality traits, such as initiative and assertiveness.

4.2.2 Intelligence tests assess a person's intelligence and learning ability.

4.2.3 Aptitude tests assess whether the applicant has the necessary interests or motivation and selling know-how. (3 × 2) (6)

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4.3
- An enthusiastic welcome to the company and sales staff.
- Completion of employment documents.
- Familiarisation of the new recruit with necessary details of sales tasks.
- Information on how and when the salesperson will be paid.
- Information on parking arrangements, office practice and the expense account.
- New recruit office space is shown.
- Company policy.
- Company's marketing strategies. (Any 4 × 1) (4)

4.4
- Step 4: Compare actual performance with predetermined standards✓✓
  The actual sales performance of individuals during a specific period is compared to his/her targets for the same period. If variations (deviations) occur, management will make adjustments to the sales objectives or replan strategies.✓✓
- Step 5: Determine reasons for deviations✓✓
  A sales manager and the salesperson should analyse negative and positive deviations, and establish reasons for such differences.✓✓
- Step 6: Take the necessary corrective action✓✓
  After establishing the cause for deviations, both parties must take immediate corrective action.✓✓
- Step 7: Re-evaluate sales performance✓✓
  To establish whether corrective measures have had the desired effect, the performance of a salesperson must be re-evaluated continuously.✓✓

(4 × 4) (16)

4.5 4.5.1 A quantitative standard as it is specific, expressed in exact quantities and easier to evaluate. (3)

4.5.2 J Sometimes his/her performance is above predetermined standards (in excess of target). (3)

4.5.3 It represents the percentage (%) difference between actual and target sales in rands or units. (2)

4.5.4
- The achievement of sales or targets
- The price of the products
- The sales volume in rands or net profit. (3)

[50]

TOTAL SECTION B: 150
GRAND TOTAL: 200

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